mary, Cycle and Supercycle degree. The current period is now the second-longest and may set an all-time record.

Mr. Eliades also demonstrates that 1991, 1992, 1993 and 1994 are *the* four years of this century that contained the smallest maximum declines in the DJIA. The market was not content with setting a one-century record in 1991, so it has maintained the performance for four years (and through part of a fifth year).

Market analyst James Stack of Whitefish, Montana has conducted a similar study from 1928, producing a table of annual percentage price ranges, listed in order of volatility. I am reprinting this table because it shows not only that 1992, 1993 and 1994 have been the least volatile years during this time, but that 1931, 1932 and 1933 were the *most* volatile years. In other words, the three years surrounding the last Supercycle *bottom* were the most volatile, and the *past* three years have been the least volatile. (Since volatility subsided after the first quarter of 1991, this span is actually now four years in duration.) Is it simply coincidence that the Wave Principle identifies these years as completing a Supercycle bottom and a Supercycle top?

The entire span of the past four years, then, is setting an all-time record (perhaps for any stock market ever) for its dearth of price-related psychological upset near an all-time high. What explains these phenomena?

The lack of volatility in today's market is both an *effect* of the bulls' complacency and a *cause* of further complacency. The market's calm is widely presumed to be "normal," when in fact, *it is so abnormal that it is unprecedented.* Such long periods of uncorrected advance do not suggest that "a 10% correction is due." They reveal deep investor complacency and therefore market tops, which is why they have preceded major downside reversals. The next ten years will witness volatility equal to or greater than that during 1931 to 1933 and shake investors out of their carefree dream world for many decades.

The current state of investor complacency has been attained through a long process of decreasing fear and smaller setbacks. This progression always leads to a top. For example, as the bull market from 1974 progressed over its first thirteen years, each corrective phase that occurred was *milder* than the preceding one. As Figure 9-11 reveals, this phenomenon continued until August 1987, when there were no corrections in the monthly figures. The aftermath of this parabolic curve was the crash of 1987, which took the DJIA down 36.1%. The 1990 decline took the Dow down 21.2%. In 1994,